Commitment and present bias: Experimental evidence

First M. Last

Department of Economics, Example University

Example Seminar Series
30 June 2026

Introduction

Motivation

- People plan to act patiently, then take the immediate reward when the moment arrives (Doe 2020)

Motivation

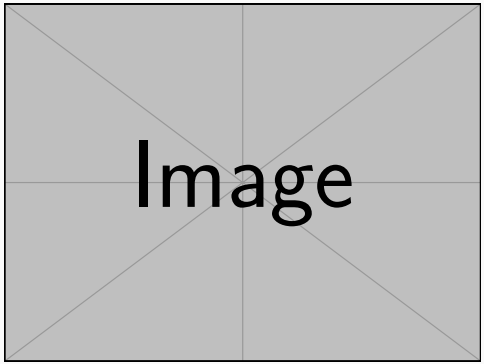
- People plan to act patiently, then take the immediate reward when the moment arrives (Doe 2020)
- **Present bias:** an extra discount on everything that is not “now” (Lee, Kim, and Park 2021)

Motivation

- People plan to act patiently, then take the immediate reward when the moment arrives (Doe 2020)
- **Present bias:** an extra discount on everything that is not “now” (Lee, Kim, and Park 2021)
- People who know they are present-biased seek commitment

This paper

- Laboratory experiment: intertemporal allocation decisions under one of two conditions
- Estimate a quasi-hyperbolic discounting model
- **Finding:** the treatment lowers present bias and raises demand for commitment



Model

Quasi-hyperbolic discounting

A decision maker values a stream of consumption as

$$U_t = u(x_t) + \beta \sum_{\tau=1}^{T} \delta^\tau u(x_{t+\tau})$$

- $\beta = 1$: exponential discounting
- $\beta < 1$: present bias

Hypotheses

Hypothesis 1

The treatment lowers present bias: $\beta_{\text{treat}} < \beta_{\text{control}}$

Hypotheses

Hypothesis 1

The treatment lowers present bias: $\beta_{\text{treat}} < \beta_{\text{control}}$

Hypothesis 2

The treatment raises take-up of the commitment device

Estimation

1. Estimate β and δ for each participant by maximum likelihood
2. Compare β across conditions, with standard errors that account for the two-stage estimator

Results

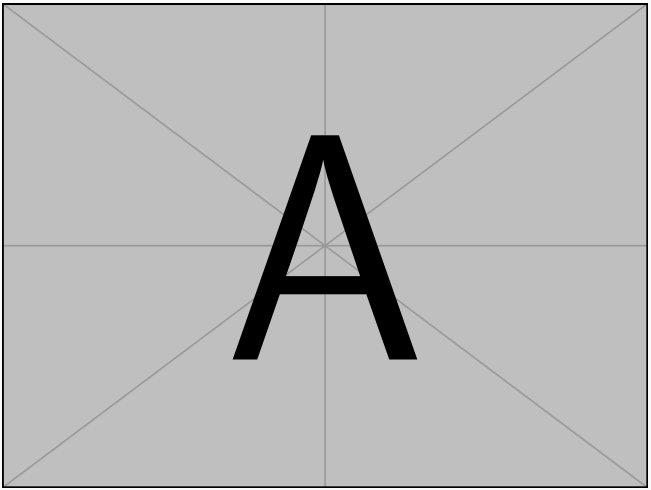
Main results

	Model 1	Model 2
Treatment effect	0.281	0.895
	(0.044)	(0.052)
Observations	897	897

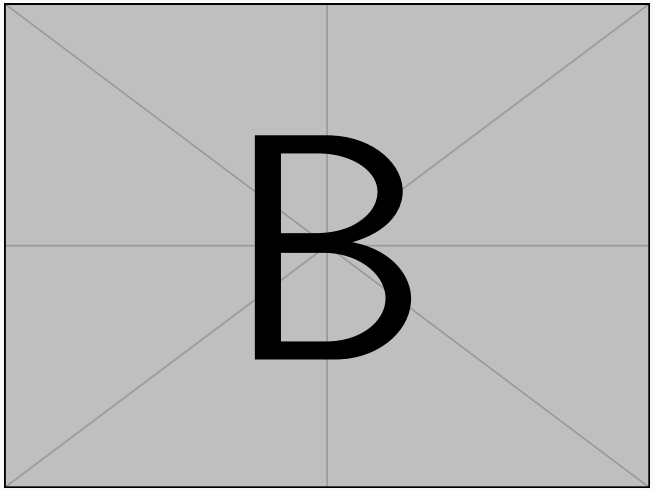
Standard errors in parentheses.

▸ Robustness

Commitment demand



Commitment demand



Conclusion

Takeaways

- A simple change in how future rewards are presented lowers present bias
- It also raises demand for commitment
- Caveat: a single laboratory sample; field replication is next

Thank you

Paper: example.com/paper.pdf
you@example.edu

Robustness: excluding inattentive participants

	Model 1	Model 2
Treatment effect	0.264	0.871
	(0.049)	(0.058)
Observations	812	812

Standard errors in parentheses.

◂ Main results